Cheniere Has a $6.6B Floor and a $255 Price Target

Street consensus models 9% EBITDA growth in 2026. Three items totaling $370–626M are completely absent from that number. One is one-time and confirmed. The other two are structural.



PRIMARY SOURCE ARBITRAGE

APR 15, 2026



Cheniere is mispriced because consensus EBITDA excludes a one-time **$370M** credit, structurally underestimates CMI, and treats a multi-year supply shock as temporary — while **$6.6B** of fixed-fee contracts caps downside.

Street consensus prices Cheniere at **11.24× NTM EV/EBITDA on $7,568M 2026 EBITDA.** Three items totaling $370–626M aren't in that number.

Thanks for reading! Subscribe for free to receive new posts and support my work.

Subscribed

The **$6.6B contracted floor** — fixed-fee revenue independent of commodity prices, CMI spreads, and macro variables — limits downside in every scenario.

The mispricing is a modeling error. The supply shock extends the duration of the opportunity.

The Supply Shock

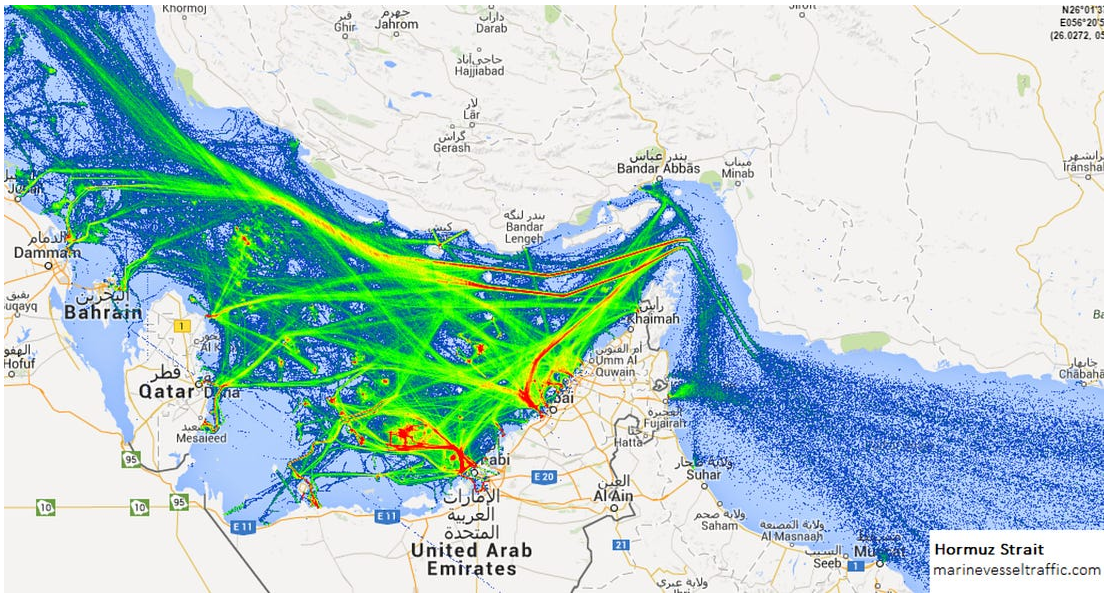
On March 3, 2026, QatarEnergy CEO Saad Al-Kaabi declared force majeure on the Ras Laffan LNG Complex. 2 of 14 processing trains are confirmed offline. **12.8 MTPA** removed from global supply. Al-Kaabi stated the repair timeline is 3 to 5 years.

The main cryogenic heat exchanger required for repair is produced by two manufacturers globally — Air Products (Port Manatee, Florida) and Linde Engineering (Schalchen, Germany) — with combined order-to-delivery lead times of 3 to 5 years.

That constraint is independent of diplomatic resolution, sanctions relief, and Hormuz status.

The US Navy blockade declared on April 12 applies to all vessels transiting to or from Iranian ports. The Strait of Hormuz carries approximately 6 commercial vessels per day. Pre-war baseline: approximately 100.

Consensus treats geopolitical resolution and supply restoration as the same event. They are not. A ceasefire reopens Hormuz. It does not rebuild Ras Laffan. One is logistical. The other is physical capacity constrained by a 3–5 year repair cycle.



Pre-war vessel traffic density through the Strait of Hormuz. Source: MarineVesselTraffic.com.

The Spread Data (April 14, 2026)

JKM: $19.35/MMBtu. Pre-war baseline: approximately $10.52. JKM is the primary benchmark for Cheniere's Asian SPA book and the direct reference for CMI.

TTF: €43.365/MWh. Goldman Sachs structural clearing estimate under prolonged disruption: €75 to €100/MWh. TTF confirms the supply shock is structurally underpriced in European markets independently of Cheniere's specific contracts. European buyers bidding for spot LNG to replace lost Qatari supply compete directly with Asian buyers in the same global cargo pool — that competition flows through to JKM.

Henry Hub: $2.592/MMBtu.

The structural spread between Henry Hub and global LNG markers exists because US shale decoupled domestic gas prices from global markets in 2009. That spread predates the war. Ras Laffan extending the supply deficit raises the structural floor for that spread regardless of Hormuz status.

The $370M Alternative Fuel Tax Credit

IRS closing letter. FY2025 10-K, page 47.

Davis verbatim, Q4 2025 earnings call, February 26, 2026: “We also have a one-time benefit from the confirmation of the alternative fuel tax credit in the first quarter, contributing over $300 million to EBITDA and DCF in our cost of sales.”

The credit covers alternative fuel excise tax claims from 2018 to 2024. The program expired on December 31, 2024. Cheniere recognized $370M as a reduction to Q1 2026 cost of sales after the IRS issued its closing letter.

It is recorded as a contra-expense in the cost of sales. Without the page 47 footnote, the credit is invisible — analysts see margin outperformance, not a discrete $370M item. Several banks updated targets in March.

One disclosure: seven Senate Democrats launched an investigation into the credit's eligibility on April 7, 2026. The minority party has no legislative mechanism to reverse a completed IRS determination under the current administration. The IRS closing letter is final. Cash has been received.

The CMI Gap

The commodity margin — CMI — moves with the spread between Henry Hub and global LNG markers. At $19.35 JKM versus a $3/MMBtu CMI floor (Feygin, February 26: 'very comfortable with $2.50–$3 range'), current spreads sit $16.35 above modeled levels. This upside existed pre-war and expanded post-war, and while partially reflected in price targets, it remains underrepresented in guidance and not fully embedded in consensus EBITDA.

Guidance doesn't include CMI upside until trades are locked. Trades are locking above guidance. Davis, February 26: "We have a ways to go to catch up to the amount of optimization EBITDA generated in 2025."

More than 4M tonnes of CMI volume has been forward sold as of February 26, up from approximately 1.5M tonnes at the prior call. Less than 1M tonnes of open capacity remains in 2026.

The Contracted Floor

$6.6B in fixed-fee contracted revenue over the next twelve months. $107.7B in fixed fees total. Approximately 90% of total anticipated production contracted through the mid-2030s. Weighted average remaining contract life: approximately 15 years as of December 31, 2025.

At $6.6B contracted EBITDA and 11× — structural thesis failure — equity value is approximately **$235/share.** LNG is currently at $260. Structural thesis failure and meaningful capital impairment are separated by a contractual floor.

	Estimated Revenues Under Executed SPAs by Period (1) (2)			
	2026	2027 - 2030	Thereafter	Total
LNG revenues (fixed fees)	$ 6.6	$ 29.4	$ 71.7	$ 107.7
LNG revenues (variable fees) (3)	9.8	43.9	129.2	182.9
Total	$ 16.4	$ 73.3	$ 200.9	$ 290.6

(1) LNG revenues exclude estimated revenues from contracts with unsatisfied contractual conditions precedent. We may enter into contracts to sell LNG that are conditioned upon one or both of the parties achieving certain milestones, such as reaching FID on a certain liquefaction Train.

(2) LNG revenues exclude revenues from contracts with original expected durations of one year or less.

(3) LNG revenues (variable fees) reflect the assumption of delivery of all contractual volumes, irrespective of any contractual right of non-delivery. LNG revenues (variable fees) are based on estimated forward prices and basis spreads as of December 31, 2025.

Source: Cheniere Energy FY2025 10-K, December 31, 2025

The Growth Layer

CCL Stage 3 Trains 1 through 4 reached substantial completion in Q4 2025, all ahead of schedule. Train 5 achieved first LNG in February 2026. CCL Stage 3 Trains 6 and 7 forecast substantial completion summer and fall 2026. Davis verbatim, February 26, 2026: "We're already 4 for 4, and it's looking like 5 for 5 of being early. If all three trains were a month early, comfortably over $50M incremental EBITDA."

The expansion pipeline follows the same execution model.

SPL expansion: FERC permits expected end of 2026, FID 2027. Corpus Christi next large-scale expansion: full FERC application submitted February 2026, FID approximately 6 to 12 months after SPL. Combined capacity target: approximately 75 MTPA. Both Phase 1 expansions fully underwritten by existing contracts.

CPC Corporation Taiwan SPA signed February 26, 2026: up to 1.2 MTPA delivered basis, 2026 to 2050. Henry Hub plus fixed fee.

Jefferies argued on April 6 that the conflict would accelerate US SPA signings. Multiple buyers who watched Qatar's force majeure are now

fast-tracking long-term US SPA negotiations — potentially further pulling forward the commercial underwriting for both FIDs.

Cheniere priced $1B in senior notes due 2036 at 5.2% and $750M due 2056 at 6.0% on March 5, 2026.

The DCF/Share Path

Full year 2025 distributable cash flow: $5.3B. Shares outstanding: approximately 210M. 2025 DCF/share: approximately $25.

2026 guided DCF midpoint: approximately $4.6B at approximately $22/share. Lower than 2025 actual reflects a one-time 2025 CAMT tax benefit that does not recur and a shift in interest accounting as Stage 3 trains are completed.

Cheniere introduced the 20/20 Vision plan in 2022 — $20 DCF/share by end of 2026. Completed ahead of schedule. New 2030 target: approximately $30 DCF/share. Davis verbatim: "Even before accounting for the growth, we are now in a position to reach $25 of DCF per share by simply following through with our upsized share repurchase authorization." $10B buyback authorized through 2030. Share count target: approximately 175M.

At today’s price of $259.68: P/DCF on 2025 actual is approximately 10.4×. P/DCF on 2030 management target is approximately 8.7×.

The Catalyst

Q1 2026 earnings, May 7. Gate: EBITDA at or above $2.0B, $370M alt fuel credit visible in cost of sales, CMI contribution visible in SPA economics disclosure.

The more important signal: whether CEO Jack Fusco frames the Qatar supply removal as structural or temporary on the call. “Structural” forces every sell-side model to remove 12.8 MTPA from the global supply stack on a 3 to 5 year timeline. That is a model rebuild, not a price target adjustment.

TD Cowen has a $255 price target as of March 3. That model has zero Qatar structural damage. Zero alt fuel credit. Zero CMI uplift above the guidance floor.

FERC permit expected in December 2026. FID confirmation follows. First LNG from SPL expansion: 2030-2031.

What Breaks the Thesis

The thesis fails if contracted EBITDA falls below $5.5B for two consecutive quarters.

Payment default or force majeure by Shell, TotalEnergies, JERA, KOGAS, or EDF on any SPA above 1 MTPA triggers an immediate exit.

FERC permit denied on SPL expansion, with no remediation path, triggers immediate reassessment.

The Setup

2026 consensus: $7,568M EBITDA. NTM EV/EBITDA: 11.24×. $370M absent from Q1 cost of sales in TD Cowen's model. CMI guidance sandbagged below pre-war JKM before February 28.

The bear case triggers on default by any single counterparty — Shell, TotalEnergies, JERA, KOGAS, or EDF

Disclosure: I hold a position in Cheniere Energy. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Cheniere Energy FY2025 10-K (EBITDA, DCF, share count, contracted revenues table, alternative fuel tax credit, contracted production percentage, weighted average contract life); Q4 2025 earnings call transcript, February 26, 2026 — Fusco, Feygin, and Davis verbatim; QatarEnergy force majeure declaration, March 3, 2026; QatarEnergy CEO Al-Kaabi — Reuters, March 19, 2026 (Maha El Dahan, Andrew Mills, Yousef Saba); Goldman Sachs, April 2, 2026 — European gas structural clearing estimate; JKM, TTF, and Henry Hub spot data, April 14, 2026 via Investing.com; Jefferies, April 6, 2026; CPC Corporation Taiwan SPA press release, February 26, 2026 via BusinessWire; Senate Democratic Caucus letter to IRS, April 7, 2026; TIKR Terminal forward multiples, April 14, 2026; Cheniere Energy senior notes pricing press release, March 5, 2026 via BusinessWire. Air Products MCHE manufacturing, airproducts.com/company/news-center/2023/10/1030-air-products-cryogenic-heat-exchangers-for-bintulu-lng-facility-malaysia; Linde Engineering Schalchen Plant, linde-engineering.com/about/linde-engineering-locations/linde-engineering-schalchen-plant

Thanks for reading! Subscribe for free to receive new posts and support my work.

Subscribed